Globalisation and the Indian Economy — MCQ Worksheet

Social Science — Economics • Chapter 4 • *25 Questions, 1 mark each — Total: 25 marks*

Instructions: *Choose the correct option (A / B / C / D) for each question. Each question carries 1 mark. There is no negative marking. Suggested time: 30 minutes.*

Q1. Globalisation is the process of:

(A) Increasing integration between countries through trade, investment, technology and people
(B) Closure of borders
(C) Banning trade
(D) One world government

Q2. Companies that produce goods/services in more than one country are called:

(A) Cooperatives
(B) Multinational corporations (MNCs)
(C) SHGs
(D) NGOs

Q3. FDI stands for:

(A) Foreign Direct Investment
(B) Free Daily Income
(C) Forex Domestic Inflow
(D) Foreign Domestic Industry

Q4. India started its New Economic Policy (LPG reforms) in:

(A) 1969
(B) 1985
(C) 1991
(D) 2001

Q5. LPG in 1991 stood for:

(A) Liquefied Petroleum Gas
(B) Liberalisation, Privatisation, Globalisation
(C) Local Production Group
(D) Less Poverty Goal

Q6. Liberalisation in 1991 mainly removed:

(A) Trade barriers and licence raj
(B) Money
(C) Roads
(D) Schools

Q7. Tax on imports is called:

(A) Tariff
(B) Quota
(C) Subsidy
(D) Discount

Q8. Restrictions on amount of imports are:

(A) Tariffs
(B) Quotas
(C) Subsidies
(D) Reserves

Q9. Tariffs and quotas are also called:

(A) Trade barriers
(B) Sales offers
(C) Price tags
(D) Bonds

Q10. WTO stands for:

(A) World Trade Organisation
(B) World Treaty Office
(C) Western Trade Office
(D) World Tariff Organisation

Q11. WTO was set up in:

(A) 1947
(B) 1985
(C) 1995
(D) 2005

Q12. Earlier name of WTO/its predecessor was:

(A) IMF
(B) GATT
(C) UN
(D) NATO

Q13. Which of these is generally seen as benefits of globalisation in India?

(A) More choice for consumers
(B) Higher quality at competitive prices
(C) More foreign investment
(D) All of these

Q14. Which of these is a problem associated with globalisation?

(A) Pressure on small producers
(B) Job insecurity
(C) Inequality
(D) All of these

Q15. Cargill Foods, an MNC, took over which Indian company?

(A) Britannia
(B) Parakh Foods
(C) Amul
(D) Tata Steel

Q16. Outsourcing means:

(A) Producing inside India only
(B) Getting jobs/processes done from outside the company, often abroad
(C) Foreign currency exchange
(D) Closing factories

Q17. Bangalore (Bengaluru) became famous as a hub of:

(A) Steel
(B) BPO/IT outsourcing
(C) Coffee export
(D) Agriculture

Q18. Which is NOT a way MNCs spread production?

(A) Setting up units
(B) Buying local companies
(C) Outsourcing/joint ventures
(D) Banning trade

Q19. Globalisation has been facilitated by progress in:

(A) Telecommunications, IT, faster transport
(B) Population growth only
(C) Soil conservation
(D) Agriculture only

Q20. 'Fair globalisation' aims at:

(A) Banning MNCs
(B) Distributing benefits more equitably
(C) Closing economy
(D) Foreign control

Q21. Special Economic Zones (SEZs) provide:

(A) Tax holidays and infrastructure to attract investment
(B) High taxes
(C) Restrictions
(D) Defence

Q22. Indian consumers benefit from globalisation by getting:

(A) More choice and better quality at competitive prices
(B) Less choice
(C) No food
(D) Higher taxes only

Q23. Which of these has happened due to globalisation?

(A) Foreign companies entering Indian markets
(B) Indian companies going global
(C) Movement of people for jobs
(D) All of these

Q24. Indian software industry has gained substantially because:

(A) English-speaking, skilled workforce
(B) No demand abroad
(C) India banned IT
(D) Government banned MNCs

Q25. Globalisation often poses biggest threat to:

(A) Small producers/workers in unorganised sector
(B) Banks
(C) Multinationals
(D) Foreign banks

— End of Worksheet —